STATE OF WASHINGTON

BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Comments for FERC ANOPR on Interconnection of Large Loads to the Interstate Transmission System
Docket No. RM26-4-000

COMMENTS OF THE WASHINGTON UTILITIES AND TRANSPORTATION COMMISSION

The Washington Utilities and Transportation Commission (UTC) provides these comments in response to the Advanced Notice of Proposed Rulemaking (ANOPR) issued on October 27, 2025. The UTC notes that establishing a standardized, national process for large load interconnection may provide benefits for Washington utility customers. Any benefits of a standardized process must be weighed against the significant risks that blurring the jurisdictional boundaries of regulation could compromise Washington State's own energy policy goals, negatively impact affordability, compromise reliability, and miss opportunities for states to develop new solutions to large load interconnection issues.

Many questions remain about implementation of the proposals in the ANOPR, and more details are needed to understand how the proposed reforms would be implemented. For example, despite the assurances in the ANOPR not to impact state's rights, the ANOPR policies may conflict with the ongoing work of Washington's Data Center Working Group established by Governor Ferguson's Executive Order 25-05.

With these concerns noted, the UTC sees value in the ANOPR process to identify practices that value and incentivize new flexible loads interconnecting to the system. Specifically, we encourage the development of principles of how to prioritize load flexibility in interconnection processes. These principles can be applied in state processes across the country to further develop policies that will advance interconnection of large loads while protecting reliability and affordability. Similarly, the UTC sees value in identifying principles around load forecasting and load certainty to address the unique challenges that large loads are presenting to system planners and grid operators.

States are well positioned to understand the circumstances inherent in each project that seeks to interconnect to the grid, and how various strategies might impact that project. Understanding context and local nuances is necessary to implement policies within our jurisdiction, specifically to ensure alignment with state law and state specific resource adequacy and energy needs. For example, the process and timing for dispatchable and curtailable interconnection would need to align with Washington's Climate Commitment Act and Clean Energy Transformation Act as highlighted by the findings and recommendations adopted by Washington state's Data Center Working Group

State law gives Washington's utility regulators direct oversight over retail rates, cost-allocation practices, and distribution level reliability impacts (RCW 80.28 and RCW 80.04). Large loads often require upgrades to both the transmission and distribution system and utilities must demonstrate that new load will not be served by imposing undue costs on existing customers. Cost recovery is ultimately approved by the UTC, which is responsible for ensuring retail rates are just, reasonable, and non-discriminatory. A federal interconnection process focused on transmission access may not maintain the essential role that the UTC (and other state commissions) play in ensuring fair retail electric rates that are free from cross subsidy. Consistent with these concerns, the UTC supports the recent resolution adopted by the National Association of Regulatory Utility Commissioners on this issue (*Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceeding)*. The resolution identifies the importance of state-federal collaboration on issues relating to large load interconnections, and the need to continue to respect the jurisdictional boundaries among local, state, and federal regulation. This is particularly true in Washington where large loads can interconnect to the transmission networks associated with state regulated utilities, FERC-jurisdictional utilities, and non-FERC jurisdictional utilities, including the Bonneville Power Administration. Ulitmately, state and federal regulators and non-jurisdictional entities have an interest in developing lasting solutions to meet the growing demands on our energy systems, while keeping electricity affordable.

The UTC appreciates the opportunity to comment on this ANOPR, noting that our comments are an initial response to a proposal that could significantly modify the electricity sector's regulatory responsibilities. There are critical issues to discuss, and an opportunity to identify principles about load flexibility and cost allocation that involve nuance and complexity with the ultimate goal of maintaining a system of cooperative federalism that best protects retail electric customers. The UTC is concerned that the timelines proposed in this ANOPR do not afford the time necessary to get to the best answer for all. We encourage FERC to take the time to collaborate in developing a productive final rule that charts a path forward that facilitates large load growth, preserves state jurisdiction, and protects all customers.

Respectfully submitted this November 21, 2025.

WASHINGTON UTILITIES AND TRANSPORTATION COMMISSION

BRIAN J. RYBARIK, Chair

ANN E. RENDAHL, Commissioner

MILT DOUMIT, Commissioner